Ministry of Corporate Affairs - Public Consultation Feedback

Document Ref: MCA/2026/CONSULT/CSR-09 | Subject: Draft Companies (Amendment) Rules 2026

1. Submission by Institute of Chartered Accountants:

The proposed quarterly filing timeline under Section 135(5) creates excessive administrative workload for MSME audit firms.

Small practitioners lack automated continuous audit tools to comply within 30 days of quarter end.

We strongly recommend extending filing deadlines from 30 days to 60 days post quarter-end to ensure compliance quality.

2. Representation from Association of Corporate Lawyers:

Criminal liability clauses stipulated in Clause 4 lack distinction between procedural oversights and fraudulent intent.

The current draft exposes independent directors to disproportionate prosecution risks for minor reporting errors.

We urge the ministry to decriminalize procedural non-compliance and institute a compounding mechanism with monetary penalties only.

3. Feedback from Confederation of Indian Industry Bodies:

Mandatory digital audit trail mandated under Rule 7 imposes high infrastructure expenditure on emerging enterprises.

Enterprises will face substantial capital costs to upgrade accounting software and server infrastructure.

We propose a 24-month transition grace period and tax subsidies for certified compliance software adoption.

4. Note from Federation of Professional Associations:

Overlapping disclosure mandates between Ministry guidelines and statutory audit formats create duplicative filings.

Entities must submit identical financial ratios across three different regulatory portals within 15 days.

We recommend harmonizing reporting into a single unified XBRL disclosure schema across all regulators.

5. Representation from Citizens & Investor Protection Forum:

The public consultation duration of 14 days was inadequate and document accessibility in regional languages should be mandatory.

Retail investors and regional stakeholder groups could not participate meaningfully without vernacular translations.

We suggest standardizing a minimum 45-day consultation window with multilingual executive summaries.